

Meridian & Associates LLP

Tax Services Practice

Tax Provision Services -- ASC 740

Standardized Process for Income Tax Accounting,
Quarterly Forecasting & SOX Control Integration

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1. Executive Summary

Meridian & Associates' Tax Provision Services practice provides comprehensive ASC 740 (Income Taxes) support to public and private companies, including quarterly and annual worldwide effective tax rate (ETR) calculations, uncertain tax position analysis, valuation allowance assessments, and disclosure preparation. Our practice supports over 500 SEC registrants and 300 private companies, with engagement teams leveraging ONESOURCE Tax Provision, Corptax, and Longview technology platforms. This document establishes the standardized process to be followed by all Meridian provision engagement teams to ensure technical accuracy, compliance with ASC 740 requirements, and integration with clients' SOX 404 internal control frameworks.

2. Worldwide Effective Tax Rate Calculation

2.1 Annual ETR Determination

The worldwide effective tax rate (ETR) is calculated as the ratio of total income tax expense (current plus deferred) to pre-tax book income from continuing operations. The annual ETR computation follows these steps:

- Step 1: Compile pre-tax book income (loss) by jurisdiction, segregating domestic and foreign components per ASC 740-10-50-6.
- Step 2: Apply each jurisdiction's statutory corporate income tax rate to the respective pre-tax income. For jurisdictions with graduated rates or surcharges (e.g., German trade tax), apply the blended effective statutory rate.
- Step 3: Identify and quantify permanent differences -- items that affect book income but never affect taxable income (or vice versa). Common permanent differences include: nondeductible executive compensation (IRC Section 162(m)), meals and entertainment (IRC Section 274), tax-exempt municipal bond interest, goodwill impairment (nondeductible book impairment vs. amortizable tax goodwill), and foreign tax credit limitations under IRC Section 904.
- Step 4: Compute the net deferred tax provision by analyzing changes in temporary differences (deferred tax assets and liabilities) during the period.
- Step 5: Incorporate discrete items -- tax effects recognized entirely in the period they occur, such as enacted rate changes, return-to-provision adjustments, changes in valuation allowance, and resolution of uncertain tax positions.
- Step 6: Prepare the rate reconciliation (ASC 740-10-50-12) bridging from the statutory rate to the effective rate, with explanations for each reconciling item exceeding 5% of the statutory amount.

2.2 Quarterly ETR Forecasting (ASC 740-270)

For interim reporting periods, ASC 740-270 (formerly APB 28 / FIN 18) requires the use of an estimated annual effective tax rate (EAETR) applied to year-to-date ordinary income. Our quarterly process includes:

- Forecasting full-year pre-tax income by jurisdiction based on the latest internal budget or management projections.
- Estimating full-year permanent differences and tax credits expected to be realized ratably over the year.
- Computing the EAETR as: (Estimated full-year tax expense on ordinary income) / (Estimated full-year ordinary pre-tax income).
- Applying the EAETR to year-to-date ordinary income and subtracting prior quarter cumulative provision to determine the current quarter provision.
- Separately accounting for discrete items in the quarter in which they occur, outside the EAETR computation.
- Performing a quarterly 'true-up' analysis comparing prior quarter EAETR estimates to updated projections, with documentation of the drivers of any change exceeding 100 basis points.

Note: Jurisdictions with year-to-date ordinary losses where the tax benefit cannot be recognized (e.g., due to valuation allowance) must be excluded from the consolidated EAETR computation and treated as discrete items (per ASC 740-270-30-36(a)).

3. Uncertain Tax Position Analysis (ASC 740-10)

The assessment of uncertain tax positions (UTPs) follows the two-step recognition and measurement framework originally codified in FIN 48 (now ASC 740-10-25):

3.1 Step 1 -- Recognition

A tax position is recognized in the financial statements only if it is 'more likely than not' (MLTN, defined as a likelihood of greater than 50%) that the position will be sustained upon examination by the relevant taxing authority, based on the technical merits of the position. Our analysis framework requires engagement teams to:

- Identify all significant tax positions taken or expected to be taken in the tax return, including positions related to the allocation of income between jurisdictions.
- Perform a technical merits analysis for each identified position, referencing applicable statutes, regulations, case law, revenue rulings, private letter rulings, and treaty provisions.
- Document the MLTN conclusion using Meridian's standardized UTP assessment template, including the basis for the conclusion, relevant authority citations, and any reliance on external opinions.
- Assign a probability-weighted outcome matrix for positions with multiple possible outcomes (e.g., audit settlement at 30% of the claimed benefit, full denial, or full sustainment).

3.2 Step 2 -- Measurement

For positions that satisfy the MLTN recognition threshold, the tax benefit recognized in the financial statements is measured at the largest amount of benefit that is greater than 50% likely to be realized upon settlement. This 'cumulative probability' approach requires:

- Identification of all possible outcomes and their associated probabilities.
- Ranking outcomes from most favorable to least favorable.
- Accumulating probabilities from the most favorable outcome until the cumulative probability exceeds 50%.
- Recognizing the tax benefit associated with the outcome at which the cumulative probability first exceeds 50%.

Unrecognized tax benefits (the 'UTB reserve' or 'FIN 48 liability') are classified as current or noncurrent liabilities based on the expected timing of settlement. Interest and penalties, where applicable, are classified consistent with the client's accounting policy election (as income tax expense or other expense, per ASC 740-10-45-25).

4. Valuation Allowance Assessment

A valuation allowance (VA) is recorded against deferred tax assets (DTAs) when it is 'more likely than not' that some portion or all of the DTA will not be realized. Our framework evaluates the following sources of evidence, as required by ASC 740-10-30-17 through 30-25:

4.1 Positive Evidence (Supporting Realization)

- Existing contracts or firm backlog supporting future taxable income.
- History of cumulative profitability in the relevant jurisdiction over the most recent 3-year period.
- Taxable temporary differences reversing in the same period as deductible temporary differences (i.e., the 'source of income' analysis).
- Appreciated asset values (built-in gains) that would generate taxable income upon disposition.
- Tax planning strategies -- prudent and feasible actions that management would implement to prevent an operating loss or tax credit carryforward from expiring unused.

4.2 Negative Evidence (Weighing Against Realization)

- Cumulative losses in the relevant jurisdiction in recent years (strong negative evidence per ASC 740-10-30-21).

- History of operating loss or tax credit carryforwards expiring unused.
- Losses expected in early future years (sufficient to offset the positive evidence of profitability in later years).
- Unsettled circumstances that could adversely affect future profitability (e.g., pending litigation, regulatory changes, loss of key customer).

Negative evidence -- particularly cumulative losses -- is generally considered 'objectively verifiable' and thus carries more weight than subjective positive evidence such as management projections of future profitability. A VA release requires sufficient positive evidence to overcome the negative, with robust documentation and sensitivity analysis.

5. Deferred Tax Asset/Liability Roll-Forward

Meridian's standardized DTA/DTL roll-forward worksheet tracks the movement in each temporary difference category from period opening to period close. The roll-forward reconciles:

- Opening balance -- prior period ending DTA/DTL by category.
- Provision entries -- deferred tax expense (benefit) recorded during the period.
- Return-to-provision adjustments -- differences identified between the estimated provision and the filed return.
- OCI items -- deferred taxes on unrealized gains/losses, pension adjustments, and hedging instruments recognized in other comprehensive income.
- Equity items -- deferred taxes on stock-based compensation windfalls/shortfalls, convertible debt, and other items recorded directly to equity.
- Acquisition/disposition entries -- DTAs/DTLs acquired or disposed of in business combinations, including the impact of ASC 805 fair value measurement.
- Currency translation -- remeasurement of foreign-denominated DTAs/DTLs at period-end exchange rates.
- Closing balance -- period ending DTA/DTL by category, net of valuation allowance.

6. SOX Control Integration

For SEC registrant clients, the tax provision process must be designed to operate within the company's SOX 404 internal control over financial reporting (ICFR) framework. Key controls include:

- Management Review Control (MRC) -- a qualified tax professional reviews the tax provision worksheets, rate reconciliation, and disclosure schedules before recording journal entries. The MRC must be evidenced by sign-off with documented review points.
- Data Input Controls -- validation of trial balance data from the general ledger to the provision model, including automated reconciliation of total pre-tax income.
- Completeness Controls -- procedures to ensure all entities, all jurisdictions, and all significant tax positions are captured in the provision calculation.
- Spreadsheet Controls -- version management, access restrictions, and formula integrity checks for non-system provision worksheets (particularly relevant for Excel-based provision models).
- IT General Controls -- system access, change management, and backup procedures for ONESOURCE Tax Provision, Corptax, or other technology platforms used in the provision process.
- Disclosure Checklist -- a standardized disclosure checklist mapping each ASC 740 disclosure requirement (ASC 740-10-50-1 through 50-22) to the source data and preparer/reviewer sign-off.

7. Common Pitfalls and Quality Review Checkpoints

Based on analysis of 2,000+ provision engagements over the past three years, the following issues represent the most frequent sources of error in ASC 740 computations:

- Incorrect treatment of outside basis differences -- failing to record deferred taxes on undistributed foreign earnings after the

TCJA transition tax, or incorrectly applying the indefinite reinvestment assertion under ASC 740-30-25-17.

- GILTI/Subpart F interaction errors -- double-counting foreign income inclusions or failing to account for Section 250 GILTI deduction limitations when computing the EAETR (see M&A-TAX-INTL-009 for GILTI planning methodology and Section 250 deduction analysis).
- State apportionment changes -- not updating state ETRs when the client's apportionment factors shift due to acquisitions, remote-work policies, or market-based sourcing adoption.
- Intercompany profit elimination -- omitting the deferred tax effect of unrealized intercompany profits in inventory (ASC 740-10-25-3(e)) or in fixed assets.
- Rate change errors -- failing to remeasure DTAs/DTLs using the enacted rate in the period of expected reversal, particularly when multi-year rate phase-ins are enacted.
- UTP staleness -- not reassessing uncertain tax positions quarterly for changes in facts, law, or the statute of limitations.

Note: All provision workpapers are subject to Meridian's National Office Technical Review (NOTR) for clients with total assets exceeding \$1 billion or income tax expense exceeding \$50 million.